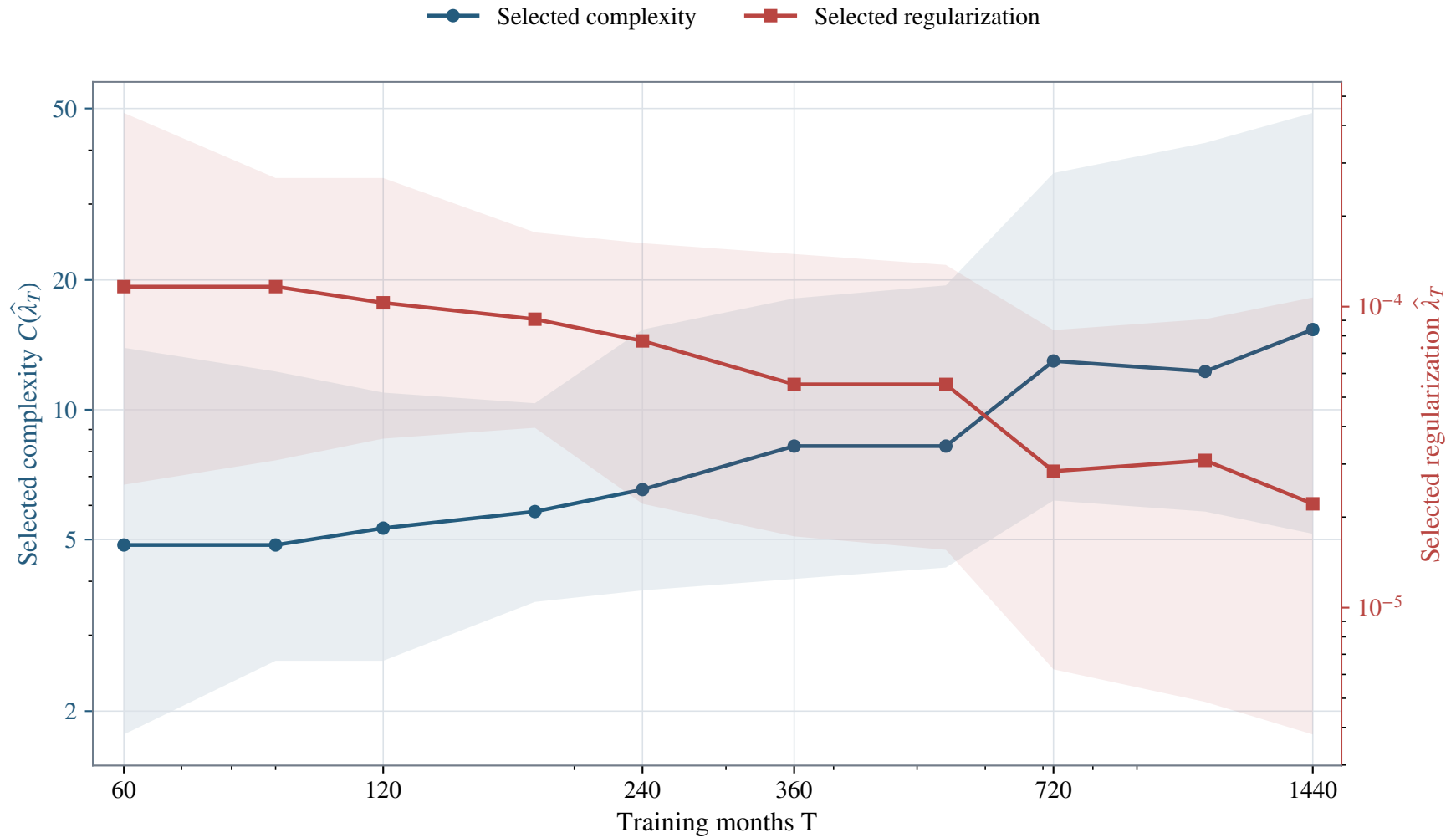


Validation-selected complexity and regularization

Boundary target | $b = 1.5$ | 2,000 directions | 500 independent paths per T



Points: medians across 500 paths. Shading: interquartile ranges, describing tuning dispersion rather than confidence intervals.

Lambda is selected on the last $V = \min(60, \text{floor}(T/3))$ observations, then the policy is refitted on all T .

Population loss and Sharpe never enter the validation choice.